

May/June 2020 11

1-A:

Consumer goods are finished products bought by individual buyers for their use. Also called final goods or retail goods, consumer goods are the end result of production and manufacturing. Clothing, food products, and appliances are all common consumer goods. Therefore, television is regarded as a consumer goods. While other options are the goods that used to produce consumer goods.

2-A:

The factors of production are resources that are the building blocks of the economy; they are what people use to produce goods and services. Economists divide the factors of production into four categories: land, labor, capital, and entrepreneurship. Therefore factors of production are used to produce goods and services that meets the consumer needs and wants.

Why not other options?

- B- macro aims
- C- macro policy
- D- demerit goods

3-B:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

An initial point is Q. When there is an improvement in the technology of cars, that means the potential of producing more cars has increased, while the output of cotton remains unchanged. Therefore, the movement from point Q to X is shown as the increase in output of cars.

Why not other options?

- A- movement from point Q to W makes the car's output unchanged
- C- movement from point Q to Y makes the potential unchanged
- D- movement from point Q to Z likely to reduce the output of cars while making the potential unchanged

4-B:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

While the PED is a microeconomic concept

5-B:

A good which harms the consumer known as demerit goods. For example, people don't realise or ignore the costs of doing something e.g. smoking, drugs.

Usually, these goods also have negative externalities. If you smoke you harm yourself, but also the smoke negatively affects other people.

Therefore such goods have immense external costs.

Why not other options?

A- if there is a clear information, then the consumption of demerit goods would be reduced and thus reduce its overproduction

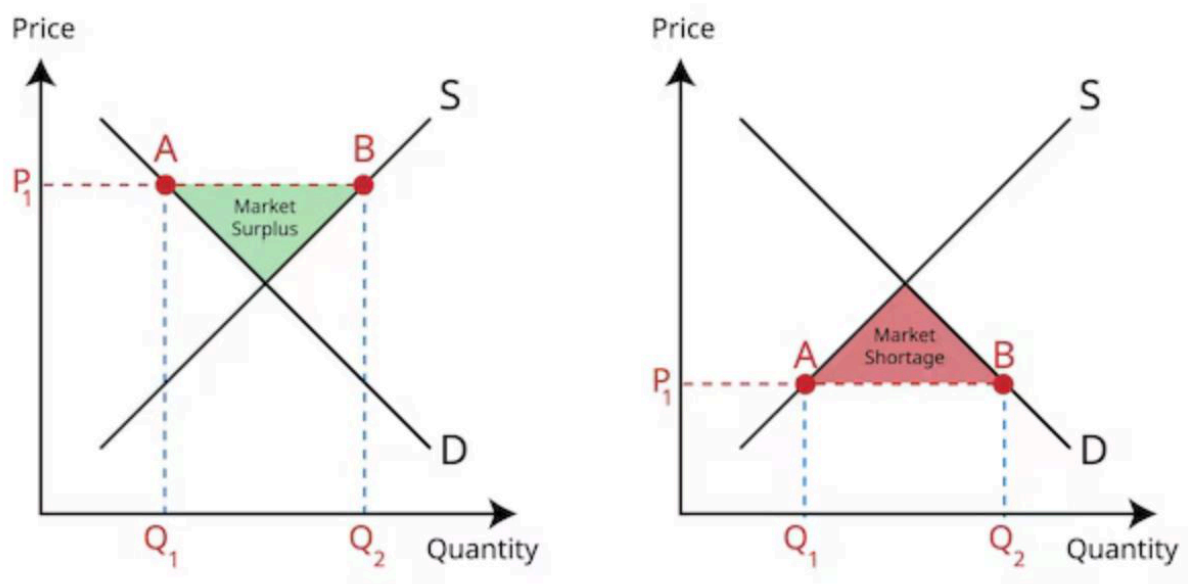
C- high taxes would reduce the supply of demerit goods

D- low customer demand means such goods wouldn't be overproduced

6-D:

Market disequilibrium occurs when the quantity of a good or service demanded does not equal the quantity supplied, leading to either a shortage or a surplus as shown below.

Market Disequilibrium



From the given diagram, we can see that prices are reduced from its equilibrium point from p to p_3 , causing the market shortage. Therefore the extent to which there is disequilibrium in a market from the given diagram is, OQ_3 to OQ_5 .

7-C:

The price elasticity of supply (PES or E_s) is commonly known as “a measure used in economics to show the responsiveness, or elasticity, of the quantity supplied of a good or service to a change in its price

$$\frac{\% \text{ change in QS}}{\% \text{ change in price}} \\ 15\%/10\%=1.5$$

8-B:

Workers wages in a firm are increased. This would likely increase the cost of labours to the firms. As a result, the firms now find out the substitutes of labourers as a capital to replace them in order to reduce their cost.

9-C:

Influence 1: higher confidence of consumer would likely to allow to borrow more as they are more optimistic about the future

Influence 2: lower interest rates would likely to encourage the borrowing as the cost of borrowing would reduce and this will likely to increase the AD

Why not other options?

Becoming a pensioner would likely to make difficult to return the money

High rate of interest would likely to discourage borrowing

Low confidence would also not contribute to more borrowing due to pessimistic nature of the economy

10-D:

From the given graph, we can see that in year 2 the line is above year 1. This means that in year 2, the earning of women has increased from the previous years and to the men also.

Why not other options?

A- the data is in %

B- the data is in %

C- the data is in %

11-C:

If the consumer income has decreased, the proportion of income will be allocated on the food or the basic necessities would increase.

While leisure expenditure would be decreased due to fall in consumer affordability.

12-D:

The average total cost is defined as the total costs incurred to produce a product, divided by the total number of units produced.

$$TC = TFC + TVC$$

At output 400 tones, the TC is 4800

$$ATC = TC/Q$$

$$4800/400 = 12$$

Why not other options?

A- TC= 2400 ATC 24

B- TC= 3200 ATC 16

C- TC= 3900 ATC 13

13-B:

$$\text{Profit} = TR - TC$$

Maximising profit at 200 output of shoes

$$2200 - 1800 = 400$$

Why not other options?

A- $1300 - 1000 = 300$

C- $3000 - 2700 = 300$

D- $3400 - 3200 = 200$

14-A:

Labor productivity is a measure of economic performance that compares the amount of output with the amount of labor used to produce that output.

Each worker is now producing 4 tractors instead of 3 tractors in a month. This indicates that the labour productivity has increased per month.

Capital investment improves labor productivity by providing workers with better tools, technology, and infrastructure, leading to increased efficiency and output per worker.

Why not other options?

B- an increase in income taxes would likely to reduce the AD

C- an increase in demand for products would likely to increase the demand for labours

D- more firms in the industry would also increase the demand the for labours

15-D:

Reducing the barriers to entry would likely allow more firms to enter the industry without any barriers. This led to increasing the supply of firms, reducing the prices for and thus extending the quantity supplied.

As a result, the growth of monopolies would be restricted.

Why not other options?

A- mergers would result in monopolies

B- nationalised industries owned by the government

C- EOS is an advantage of large firms and this would result in monopolies in the future

16-A:

Public expenditure refers to the government's outlay of funds to fulfill its responsibilities and provide goods and services to the public. It includes spending on infrastructure development, education, healthcare, defence, social welfare, subsidies, administration, and more.

Therefore an investment expenditure is not a public expenditure.

17-C:

A balanced budget (particularly that of a government) is a budget in which revenues are equal to expenditures.

Why not other options?

A- no link

B- link to BoT

D- monetary equilibrium

18-C:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

Increase in sales tax would likely increase the firm's cost of production. This would lead to reducing the supply of firms, thus increasing the prices and reducing the output of an economy. As a consequence, the economic growth rate starts to decline

Why not other options?

A- more lending would likely increase the loans and thus increase the investment in an economy. As a result, the AD increases and encourages more output.

B- low interest rates also discourage savings and encourage investment. This leads to increase the spending and investment and leads to a rise in AD

D- subsidies would likely to increase the AS and thus increasing the output of an economy

19-D:

More evenly distributed income means that every household has money to spend in an economy. As a result, the consumption and spending increase, leading to an increase in the demand for goods and services. Now prices are likely to rise and the rate of inflation to rise

Why not other options?

A- incentive to work reduces as progressive taxation has increased to reduce the income inequality

B- savings would also reduce as disposable income reduces due to high taxes

C- need for welfare payments would reduce as income is now more evenly distributed

20-D:

Structural unemployment results from structural changes in the economy. One example is when robotic arms programmed to conduct surgeries render surgeons structurally unemployed.

From the given table, employment in manufacturing has fallen. This leads to occupational immobility due to specialisation

Why not other options?

A- Cyclical unemployment is a type of unemployment that is caused by fluctuations in the business cycle or economic cycle. It occurs when there is a downturn or contraction in the economy, which leads to a decrease in demand for goods and services, and subsequently a decrease in demand for labor.

B- Frictional search unemployment refers to the temporary unemployment that occurs when individuals are between jobs or entering the workforce, actively searching for a new position that better suits their skills and preferences.

C- Seasonal unemployment occurs when a person is jobless because the demand for their labor fluctuates with the seasons, common in industries like agriculture, tourism, and construction where peak seasons are followed by slower or closed periods.

21-B:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

A higher level of resources would likely increase the productive potential of an economy.

Why not other options?

A- higher imports would likely to increase the trade deficit and thus AD falls

C- High taxes also decrease the disposable income, reducing the consumption and spending and AD falls

D- higher unemployment would likely to result in fall in AD

22-C:

Constructing the Consumer Price Index (CPI) requires determining a representative basket of goods and services, tracking their prices over time, and then calculating the index value using a base year. This involves selecting items frequently purchased by consumers, monitoring price changes across various locations, and using a consistent methodology to compare prices over time.

Therefore wages levels not required for the construction of CPI

23-A:

We can see in the table that countries with higher inflation have higher interest rates, see country X.

Why not the other options?

B- countries with high interest rates have high unemployment, see X and Y

C- countries with lowest inflation have the lowest unemployment, see W and Y

D- see w and z

24-D:

Developed countries

Characterized by high GDP (Gross Domestic Product) or GNI (Gross National Income) per capita, strong industrial and service sectors, and a high level of technological infrastructure.

Developing countries

Generally have lower GDP per capita, are often more reliant on agriculture, and may be undergoing rapid industrialization.

Why not other options?

A- low inflation rate in developed countries

B- high interest rates can be both economies depending on the economic situation

C- natural resources are more higher in developing countries

25-D:

Relative poverty is the condition in which people lack the minimum amount of income needed in order to maintain the average standard of living in the society in which they live. Transfer payments had fallen by the government that resulted in higher relative poverty during these years

Why not other options?

A- redistribution has taken place

B- this could be an advantage

C- impact on population

26-A:

Developed country should have a low birth rate and death rate and high productivity

27-C:

An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the goods may be brought into the country during a specified time period.

Why not other options?

A- Export subsidy is a government policy to encourage export of goods and discourage sale of goods on the domestic market through direct payments, low-cost loans, tax relief for exporters, or government-financed international advertising.

B- red tape refers to excessively complicated, unnecessary, or time-consuming regulations and administrative procedures that hinder international trade and increase costs for businesses

D- tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries

28-D:

If raw materials have fluctuating prices that will result in fluctuating income for export earners of low income countries

Why not other options?

A- no

B- no

C- no

29-A:

Current Account

Visible Trade (Goods): Exports and imports of products like oil, cars, computers.

Invisible Trade (Services): Revenue from services (e.g., IT, tourism).

Income: Profits, interest, dividends from abroad.

Transfers: Remittances, gifts, donations

Why not other options?

B- AD

C- individual

D- financial account

30-D:

Current Account

Visible Trade (Goods): Exports and imports of products like oil, cars, computers.

Invisible Trade (Services): Revenue from services (e.g., IT, tourism).

Income: Profits, interest, dividends from abroad.

Transfers: Remittances, gifts, donations

We can see that the balance of net transfers is negative in 2011 but in 2012, the negative balance is declining. This indicates that net transfers balance are improving.

Why not other options?

A- balance of goods is negative but it keeps increasing in the next year

B- balance of services is negative but it keeps increasing in the next year

C- net income should be increasing but it decreases in the next year that indicates that balance is not improving